

FEDERAL MARITIME COMMISSION

APPLICATION OF OTI LOGISTICS, INC. FOR AN OCEAN TRANSPORTATION INTERMEDIARY LICENSE

Served: February 22, 2019

BY THE COMMISSION: Michael A. KHOURI, *Acting Chairman*, Rebecca F. DYE, Daniel B. MAFFEI, and Louis E. SOLA, *Commissioners*.

ORDER DENYING APPLICATION FOR OCEAN TRANSPORTATION INTERMEDIARY LICENSE

On July 24, 2018, OTI Logistics, Inc., applied for an ocean transportation intermediary (OTI) license. Because OTI Logistics lacks the necessary experience and character to be qualified for a license, the Commission denies its application.¹

I. BACKGROUND

A. Prior OTI License Proceedings

Applicant OTI Logistics' CEO and sole owner is William Onorato, and OTI Logistics is the fourth Onorato-related company with which the Commission has dealt. In 1994, Mr. Onorato established Triton Overseas Transport Inc., which obtained a Commission license in 1999. *Triton Alive* I.D. at 10. Mr. Onorato served as Triton Overseas' president and qualifying individual. *Id.* Angela Onorato, his wife, was also employed by Triton Overseas.²

In August 2014, Triton Overseas changed its name to Triton Global, Inc. *Id.* at 10. Mr. Onorato was the president and qualifying individual of the corporation under this new name. *Id.* Triton Global's OTI license was revoked in October 2015 when its bond was terminated. *Id.* at 11.

In August 2017 an Onorato-company called Triton Alive applied for an OTI license. *Id.* at 1. Mr. Onorato was the sole member, CEO, and Secretary of Triton Alive and was listed as the company's proposed qualifying individual. *Id.* at 12. The Commission's Bureau of Certification

¹ The Commission is reviewing OTI Logistics' license application directly under 46 C.F.R. § 515.18 because OTI Logistics is controlled by William Onorato (OTI Logistics' CEO and sole owner), and Mr. Onorato's conduct led to the denial of Triton Alive, LLC' application for an OTI license less than three years before OTI Logistics filed its license application. See 46 C.F.R. § 515.18; Initial Decision, *In re Triton Alive, LLC*, OTI Hearing Docket No. 18-01 (Hearing Officer Mar. 28, 2018) (hereinafter *Triton Alive* I.D.).

² OTI Logistics' license application states that Angela Onorato was employed by Triton Overseas Transport Inc. from March 2000 until September 2014. See FMC Form 18 – Application for a License as an Ocean Transportation Intermediary, OTI Logistics, July 24, 2018.

and Licensing (BCL) notified Triton Alive of its intent to deny the license application, and Triton Alive requested a hearing.

On March 28, 2018, a Commission Hearing Officer affirmed BCL's denial of Triton Alive's license application. In reviewing Mr. Onorato's previous business, the Hearing Officer found, "a history of lax financial practices, lack of payment to creditors, and dishonored checks" and no evidence that this conduct would change. *Id.* at 18. The Hearing Officer thus determined that Triton Alive and Mr. Onorato lacked the necessary character to render OTI services. *Id.* The Commission chose not to review this decision.

B. OTI Logistics

As for the company at issue in this proceeding, OTI Logistics was incorporated in Texas on November 19, 2007. Between its formation and the submission of its OTI license application, OTI Logistics has twice forfeited its certificate pursuant to the Texas Tax Code. The State of Texas – Tax Forfeiture, OTI Logistics Inc., Oct. 16, 2009; The State of Texas – Tax Forfeiture, OTI Logistics Inc., Jan. 27, 2017. On May 24, 2018, having paid all fees, taxes, and penalties due to the state, OTI Logistics had its forfeitures set aside and was reinstated. The State of Texas – Tax Clearance Letter for Reinstatement, OTI Logistics Inc., May 24, 2018. In the eleven-year period between its formation and the submission of its OTI application, OTI Logistics was in good standing with the State of Texas for a total of two years and eleven months. *Id.*

When OTI Logistics was formed, Angela Onorato was listed as its president, sole stockholder, and director, and Mr. Onorato was listed as its secretary. The State of Texas – Certificate of Formation, OTI Logistics Inc., Nov. 19, 2007. OTI Logistics' Form FMC-18 application also indicates that Mrs. Onorato was employed by OTI Logistics from August 2000 (almost seven years before its formation) until July 2018.

On May 30, 2018, the Onoratos' roles changed. Mrs. Onorato became OTI Logistics' secretary and Mr. Onorato became its director and sole stockholder. On July 24, 2018, Mr. Onorato was designated as chief executive officer. The website of OTI Logistics prominently features Mr. Onorato and states "William Onorato of OTI Logistics has excelled in the logistics industry since the early 1990s." OTI Logistics – About Us, <https://www.oti-logistics.com/#about-us>.

Also on July 24, 2018, three months after the Commission denied Triton Alive's license application, OTI Logistics applied for an OTI license. OTI Logistics' application lists Mr. Onorato as the company's president and 100% owner. Mrs. Onorato is listed as secretary and as the proposed qualifying individual (QI) of OTI Logistics.

In reviewing OTI Logistics' application, BCL contacted Mrs. Onorato's three references to determine whether Mrs. Onorato had the required three years of OTI experience under 46 C.F.R. § 515.11(a). BCL staff conducted telephone interviews with [REDACTED] and concluded that Mrs. Onorato was not involved in the "day to day" business activities at Triton Overseas. BCL contacted Mrs. Onorato on two occasions and requested additional references, but Mrs. Onorato failed to comply with BCL's request.

II. DISCUSSION

A. Legal Standards

The Shipping Act gives the Commission the authority to issue ocean transportation intermediary licenses. *See* 46 U.S.C. § 40901(a). The Commission only issues such licenses to persons with the requisite experience and character to act as an OTI. *Id.*; 46 C.F.R. § 515.14(a). The Commission will deny a license if the applicant, among other things, lacks this experience or character or fails to respond to any lawful inquiry of the Commission. 46 C.F.R. § 515.15(a), (b). The burden of proof rests on the license applicant. *Falcon Shipping Inc., Abdiel Falcon – Application for a License as an Ocean Transportation Intermediary*, 32 S.R.R. 382, 383 (FMC 2012).

To have the necessary experience, a license applicant’s qualifying individual must have a minimum of three years’ experience in ocean transportation intermediary activities in the United States. 46 C.F.R. § 515.11(a)(1). In investigating whether an applicant has the necessary character, the Commission considers things such as violations of shipping and other laws, operating without a license, and financial problems (e.g. bankruptcies, tax liens, and judgments). *See* 46 C.F.R. § 515.11(a)(2).

B. Character

Considering the Commission’s previous concerns with Mr. Onorato’s character and OTI Logistics’ financial issues, it is apparent that OTI Logistics lacks the character required for an OTI license. The character of a corporate license applicant is based on that of its proposed qualifying individual and principal owners and officers. 46 C.F.R. §§ 515.11(b)(3); Advanced Notice of Proposed Rulemaking: Amendments to Regulations Governing Ocean Transportation Intermediary Licensing and Financial Responsibility Requirements and General Duties, 78 Fed. Reg. 32946, 32947 (May 31, 2013).

The Commission has already determined, when denying Triton Alive’s license application, that William Onorato – OTI Logistics’ president and sole owner – lacks the necessary character to render ocean transportation intermediary services. *Triton Alive* I.D. at 12-18. In that proceeding, the Hearing Officer concluded that there was a “pattern of lack of financial responsibility” in Mr. Onorato’s previous business and no evidence that this would change. *Id.* at 18. The Hearing Officer noted that Mr. Onorato’s previous company, Triton Global, had its credit suspended by MSC for payments outstanding and later defaulted on a payment plan with MSC and stopped payment on current shipments. The same company had a judgement entered against it, and creditors were only able to recover a fraction of debts that amounted to hundreds of thousands of dollars. Triton Global later lost its license for failure to maintain a bond. *See, e.g., id.* at 10-12, 14-19.

The Commission has no cause to reconsider its prior conclusion that Mr. Onorato, and thus OTI Logistics, lacks the character to serve as an OTI. Moreover, OTI Logistics itself twice forfeited its certificate pursuant to the Texas Tax Code. Consequently, OTI Logistics has not established that it has the character to render OTI services.

C. Experience

In addition to lacking the character to render OTI services, OTI Logistics has not established that its proposed qualifying individual, Angela Onorato, has the minimum of three years' experience in ocean transportation intermediary activities in the United States.

OTI Logistics' application states that Mrs. Onorato has nearly fourteen years of experience with Triton Overseas, which was a licensed NVOCC from 1999 to 2014. But the Commission's inquiry involves not just the length of a proposed qualifying individual's experience, but the nature of that experience in handling ocean transportation intermediary duties. 46 C.F.R. § 515.13(d). Information obtained [REDACTED] suggests that she was not involved in day-to-day business activities of Triton Overseas. Specifically, [REDACTED] indicated that Mrs. Onorato did not handle day-to-day activities at Triton Overseas and was only involved occasionally or sporadically. [REDACTED] further said that Mrs. Onorato would never handle any of the technical aspects of the business. [REDACTED] also said that Mrs. Onorato was seldom in the office, and all stressed that she was not involved in day-to-day activities, if involved with the business at all.

In light of that information, BCL twice requested that OTI Logistics provide two additional references for Mrs. Onorato. *See* 9/5/18 Email from BCL to Angela Onorato; 8/21/18 Email from BCL to Angela Onorato. Mrs. Onorato refused, however, to comply with BCL's requests. *See* 9/5/18 Email from Angela Onorato to BCL; 8/21/2018 Email from Angela Onorato to BCL.

In sum, OTI Logistics did not provide sufficient information for the Commission to determine that OTI Logistics' proposed qualifying individual possesses the required experience to qualify for an OTI license. In the absence of such information, the Commission cannot issue an OTI license.³

III. CONCLUSION

OTI Logistics' president and sole owner lacks the requisite character, and its proposed qualifying individual has not demonstrated the requisite experience for OTI Logistics to render ocean transportation intermediary services. We therefore **DENY** OTI Logistics' application to operate as an ocean transportation intermediary.

By the Commission.

Rachel E. Dickon
Secretary

³ OTI Logistics' failure to comply with the Commission's request for additional references also justifies denying its application for an OTI license. *See* 46 C.F.R. § 515.15(b); *cf.* 46 C.F.R. § 515.16(a)(2).